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## Insurance Asset Management

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## Where are we, how did we get here and where are we going?

### How did we get here? ...A quick recap

*In mid-March* 2009 the markets, as we knew them, changed. That was when the FOMC (Federal Open Market Committee) took unusual action to revive a US economy that was stumbling to recover from the “Great Recession”. To complement the low short term rates, already controlled by the FOMC’s setting of the Fed Funds rate at historical lows (See Figures 1&2 on

page 6), they now introduced the QE 1 program to inject additional liquidity into the economy.

Since the inception of QE 1 economic growth, as measured by GDP, has continually been disappointing. Restatements of prior quarter's GDP numbers downward has become habitual and forward estimates are usually discounted as wishful thinking. Unemployment has remained stubbornly high, with reductions due primarily to less

than favorable factors such as departures from the labor force and replacement of full time positions with lower paying, part-time service jobs. Along the way, we have all realized (including the FOMC) that the overly optimistic expectations for an improving economy resulted in the premature discontinuation of QE 1 as well as QE 2. We now stand at the inflection point regarding the current “government” effort,

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## Economic Review

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### **Equity Market Review and Outlook**

*Stocks produced* their best first-half returns in fifteen years, despite a late shudder when interest rates surged and China growth continued to slow.

The interest rate spike came as the Federal Reserve upgraded its forecast for economic growth and signaled that its bond-buying program might eventually come to an end. A strong economy has been known to produce pricing power, and even inflation, which is typically bad news for fixed income investors.

The end of bond purchases by the Fed would arrest its artificial suppression of interest rates. When considered in the context of a 30-year bond bull market and historically-low yields, the violent reaction of the markets to

this one-two punch was understandable.

But is the economy really improving? It barely grew in the fourth quarter. And not long after the Fed upped its own forecast, GDP figures for the first quarter were lowered from a previous estimate of 2.4% to 1.8% as consumer spending increased less than first thought.

Consensus forecasts for the second quarter call for a third-consecutive quarter of sub-2% growth. Granted, housing continues an impressive rebound, auto sales are strong, and job growth is growing. However, a growth rate of more than 3% in the second half will be required to meet the new Fed forecasts.

Modest growth in corporate profits reflects sluggish revenues and historically-wide profit margins, aided by tight management of labor, cautious capital spending,

and low borrowing costs. Share repurchases, also supported by low interest rates, have provided an additional increment to earnings per share. Many companies have gamed the system by pre-announcing lower earnings targets, followed by ‘good news’ later, when they clear the lowered hurdles.

After double-digit percentage gains in the first quarter, stocks continued to advance in April and May, until the Fed gave its first hint of a reduction in money printing. Although stocks also finished higher in the second quarter, the Dow was down in June for the first time since November, and volatility surged.

The Dow experienced sixteen daily moves of 100



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**"The end of bond purchases by the Fed would arrest its artificial suppression of interest rates. When considered in the context of a 30-year bond bull market and historically-low yields, the violent reaction of the markets to this one-two punch was understandable."**

## Economic Review

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points or greater in the twenty trading sessions of June. Defensive and higher-yielding stocks initially corrected the most, but natural resource and commodity plays got hammered at the end. Gold, for example, was down 23% for the quarter.

### Equity Investment Strategy

When the Fed issued its new guidance, which essentially said it...might...curtail bond purchases... at some future date...if...the economy continues to improve, the markets only heard the part about curtailing bond purchases. Fed officials then hastily hit the airwaves to walk back the guidance, attributing it to a misunderstanding, while many leading industry voices termed the severe response of the markets to be an overreaction.

So let's examine the fundamentals: Is the economy going to accelerate? Not likely. Private economists forecast 1.9% GDP growth for all of 2013. True, some data have recently shown improvement. The economy has created about 200,000 jobs per month so far this year. However, the total number of people employed remains unusually low, and below pre-recession levels.

Tax rates are higher. Lower growth in government spending is a short-term drag. Recent regulatory initiatives in the financial, health care, and energy sectors, if implemented, will hurt the economy. As for exports, Europe remains in recession and China growth is slowing, partly because of an attempt to rein in its own excess liquidity.

Corporate profits are estimated to have grown only 2% in the second quarter, down from expectations of 6% growth at the beginning of the quarter. If it is not growth that is driving the stock market, then it must be the liquidity, as well as a heightened investor appetite for risk.

The Federal Reserve has been advancing two misguided notions. The first is that there are no adverse side effects resulting from its money printing. The second is that it can easily withdraw the stimulus whenever it pleases, with limited market impact. The eagerness of the Fed to convince investors that the economy is ready to stand on its own suggests that perhaps they have nagging doubts about both.

Recall that the economic projections of the Fed have been overly optimistic in each year of the recovery so far. In fact, the Fed has already twice declared victory on the growth front, only to reopen the liquidity floodgates when the economy weakened and markets corrected.

Then there is this: if the Fed has been instrumental in sparking growth, how can the liquidity be withdrawn without dealing that growth a setback? Much of the economic progress is related to housing, which thrives in an environment of low interest rates. Rates on a 30-year mortgage have recently moved about a full percentage point higher, based on the mere hint of less bond buying.

Regarding side effects, a big one is that low interest rates drive investors out of cash and into riskier alternatives, and lure speculative

elements into the market. Conversely, hot money, leverage, and individual investors facing losses can all spark a self-reinforcing "risk off" selling cycle. As the markets have vividly demonstrated, a graceful monetary exit is likely a Fed fantasy. Yet very real side effects make such an exit inevitable.

With the crisis phase long past, the economy might actually improve if the Fed would cease from picking winners and losers and distorting market price signals. The economy has thrived in the past at much higher interest rate levels. And eventually, stocks could then rise (or fall) on their own merits.

Pending a resolution to this dissonance, we remain conservatively positioned and are focused on fundamentally-sound companies that have attractive reward/risk profiles, regardless of the next central bank action. City dwellers know what happens once it begins to rain: you cannot find a cab. It is then that the value of a sheltered location becomes especially apparent.

### Fixed Income Review and Outlook

The Barclays Aggregate Fixed Income Index returned -2.32% for the second quarter, and -2.44% for 2013 year-to-date. June marked the first time in 84 months, since June 2006, that the Index registered a negative return (-0.69%) for a trailing twelve month period.

The belly of the Treasury curve suffered the brunt of the yield

# Economic Review

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advance, with 5, 7, and 10-year Treasury notes rising 63, 73, and 64 basis points in yield, respectively, during the quarter. Helping to fuel the rout, fixed income mutual funds experienced their largest weekly outflow in six years during the last week of the quarter, even before fund investors received monthly statements indicating new unrealized losses.

Federal Reserve chairman Ben Bernanke triggered June's sell-off by suggesting that the Fed may begin to reduce its massive monthly bond purchase program if economic signals continue to strengthen, and the market reacted violently.

Soon central bankers employed colorful metaphors to describe the market's interpretation and their intentions. Dallas Federal Reserve President Richard Fisher talked of the market going from "Wild Turkey" to "cold turkey" and later said that investors behaved like "feral hogs" after Bernanke's June 19 comments. New York Fed President Bill Dudley and Fed Governor Jerome Powell echoed Fisher's comments, suggesting the market had overreacted and emphasizing the need for a gradual approach to any reduction of monetary easing. Until the recent correction, the Fed's quantitative easing led to large inflows and price gains in high-yield bonds. Massive liquidity originating in the United States also fueled bond gains overseas. Some say that when America's economy sneezes the rest of the world gets pneumonia, and emerging market funds with liquidity-

induced gains are now combatting redemption requests.

June's interest rate rise highlights the problem of Fed quantitative easing—the market has become dependent on it, and to maintain rates at a low level the Fed must keep doing it. By quarter's end mortgage rates had risen 1% from April's low, to 4.40%, with the Fed purchasing \$45 billion of mortgages monthly. Over the long run, we worry that the Fed may not have as much control over the capital markets as presently appears.

Economic expectations are often revealed by the slope of the Treasury curve. Two-year Treasury yields advanced twelve basis points and 30-year yields increased 40 basis points during the quarter, as the slope of the 2/30 year curve increased from 2.86% to 3.14%. Reacting differently, the relationship between 10 and 30-year bond yields flattened 0.25% during the quarter.

Typically, higher long-term inflation expectations push long-maturity yields higher. However, current inflation expectations have plunged. In light of the recent tapering talk, this shows the impact that Federal Reserve purchases have had on market prices.

The Fed assures us that any end to quantitative easing is data dependent. Although recent employment gains have pleased the market, the unemployment rate remains at 7.6%, with no improvement since March, and the broad "U6" measure of unemployment, which includes involuntary part-time workers, is at a four-month high of 14.6%. GDP growth of 3%

has been common in previous expansions, but recent Institute for Supply Management manufacturing statistics signal only modest expansion, with growth that correlates to GDP of about 2.5%.

In other news, Euro zone officials again are warning Greece that it has limited time to meet bailout requirements, and a popular uprising in Egypt has again overthrown that country's president. Global fragility and Fed tapering talk have pushed the dollar higher.

## Fixed Income Investment Strategy

Over the short term, we believe the market has over-reacted to Chairman Bernanke's comments. Nevertheless, we have a predisposition to keeping portfolios short of benchmark indexes in the face of strengthening employment reports, growing bond fund redemptions, and tapering talk.

Most portfolios are about level with benchmark durations, but we are likely to again build a short bias versus benchmark indexes as the third quarter unfolds and reaction to recent market movements subsides.

Over the next few months, we expect spread product to perform well and corporate bonds to outperform mortgage-backed bonds. The Fed will not allow interest rates to rise without signs of a stronger economy, and stronger economic growth should produce gains for corporate credits. At the same time, volatile interest rates, and the prospect that the Fed will decrease its purchases of mortgage-backed securities, may extend average

lives at the wrong time and dampen interest in high-quality, but prepayment-sensitive, mortgage assets.

In recent quarterly commentaries, we have described the potential for losses to fixed-maturity investments at low yields. Most long-only institutional portfolios are benchmarked against indexes constraining the interest rate risk of the portfolio to rate risk that approximates that of the index.

It is imperative that investors understand the duration profile of their benchmark index, and ensure that the index is consistent with the long-term objectives of their portfolio. At some point in the future, the most satisfied fixed income clients will have treated the current market environment opportunistically, taking advantage of increased yields to capture higher future returns.







Sean Thompson, Director,  
Client Relations

With over 25 years' experience in London's financial services, including investment consultancy, asset management and insurance, Sean brings wide industry knowledge to CAMRADATA. He was previously Managing Director at Meridian Performance Services and has also worked for companies such as Alliance-Bernstein and City Capital Counselling UK.

**“ The asset manager search process is a critical component of the investment process. It needs to be formal, structured and should allow for comparative data points to be created across those managers being considered.”**

## **Asset Manager Selection: How to Measure Performance**

In January 2013, CapVisor Associates made the strategic decision to engage Camradata as our investment performance data management tool. While perhaps not as well known in the US as other competing services, Camradata has a large, established presence in Europe and the UK and a special interest and expertise in serving the insurance industry.

CapVisor uses the advanced systems capabilities of Camradata as our source of investment manager performance data as well as their analytics package for manager analysis (risk-adjusted performance) and manager universe comparison. In our working partnership, we are also building a proprietary insurance asset manager universe which will enable CapVisor to compare the performance of highly constrained insurance portfolios to similarly managed portfolios rather than to the relatively unconstrained portfolios of pension, endowment and foundation and public fund portfolios, all of which dominate the manager return sets of most competing services.

Some large insurers also use this system directly or are contemplating a direct subscription. The following article provides an overview of Camradata's functional strengths and value to the insurance marketplace.

### **Introduction**

**Before an** asset manager selection process can be started, an institutional investor must clearly understand their risk/reward appetite - put simply, what are the investment objectives and how much risk can be

tolerated to achieve them? Assuming investment objectives and risk tolerances have been identified, for the majority of institutional investors, there are two issues to consider:

Which asset classes will be focused on to build the investment portfolio?

Which asset managers are best suited to make the investments?

Some investors hire investment consultants to assist with the asset manager selection process whilst others may have experienced investment professionals within their organisation to carry this process out. Often consultants, or institutional investors, will use an on-line asset manager database, like

CAMRDATA Live, to support their manager research activities. These databases provide detailed information on a large number of asset managers, highlighting those who manage funds in particular asset classes, together with details of each asset manager's investment processes, philosophy and performance statistics.

The asset manager search process is a critical component of the investment process. It needs to be formal, structured and should allow for comparative data points to be created across those managers being considered. This will give the investor the confidence to identify the right asset manager.

Whilst many factors are considered when assessing asset managers, this paper only explains how an investor might use analysis of the performance data to help better inform their decision-making or on-going performance monitoring. It therefore looks at the quantitative data available and does not factor in any of the qualitative research that would also be taken into account when reviewing asset managers.

### **Creating a Comparative Group of Asset Managers**

The first step in the asset manager search process is to identify managers investing in the asset classes being considered as part of the investment portfolio. Whilst there may be many managers providing investment expertise in the selected asset class, it is important when looking at investment performance that you compare apples with apples.

The easiest way to create a comparative group of asset managers is to select all those managers who measure themselves against the same benchmark within the asset class. That said the investor should also choose those asset managers who measure themselves against a benchmark that is more representative of the holdings and investment style that they would be happy to be invested in.

Of course, at times an investor may also wish to review asset managers who measure

## Asset Manager Selection: How to Measure Performance

themselves against a slightly different benchmark to the one they chose. In these instances, it is down to the investor to decide if they are happy to put the managers all in one group (because the benchmark difference is too small to be of concern) or they run analysis on two comparative groups side-by-side.

The investor should also be aware that there will be, at times, slight variances between what each asset manager may be able to invest in. This is as a result of the different restrictions that there might be in each of the strategy's investment guidelines. In some cases asset managers may be able to invest in certain types of securities within their guidelines, whilst other managers' guidelines may not then allow investment in these at all. These factors do need to be taken into account when reviewing the data. Sometimes it is easy to spot an asset manager that is being given more 'freedom'. Therefore, the analysis can be used to help show whether this 'freedom' allows the asset manager to add value; and if so, is the added value due to an increase in the amount of risk being taken.

### The Different Types of Measurement

Typically, when reviewing performance, investors will want to see how each asset manager has performed relative to its benchmark, assess whether there is consistency, understand how volatile the returns have been and analyse why each manager's performance differed from the benchmark.

Investors should look at how the asset managers perform when markets fluctuate, review how statistically significant the returns are and run comparative analysis on one and three year rolling periods. Whilst it may seem a relatively straightforward process, the measurement and comparison of performance should not be taken lightly. Institutional investors should consider using analytical tools to assist them. Often the management of these analytical tools is overseen by a third-party data provider. There are a number of different industry-standard measurements that can be used to breakdown and help explain performance. These provide investors with suitable comparisons within a peer group of similar asset managers to enable better informed decision-making. The most common measurements include:

#### Alpha

Alpha, also known as excess return, is a measure of how well an investment performed compared to its benchmark. It shows that part of an asset manager's return that was achieved as a result of manager skill rather than the movement in the market. For instance if the benchmark returned 8% and a manager achieved a 9% return in its client's portfolio then the alpha of the portfolio is 1%. So it could be said that due to its skill, the manager was able to outperform the benchmark by 1%.

#### Beta

Beta measures market risk and compares the manager's vola-

tility of its return to the volatility of returns of the benchmark. Beta is typically expressed as a decimal value and the beta of the benchmark would be 1.0. Therefore if the asset manager's beta was less than 1 it would mean its returns were less volatile than the benchmark, while a beta greater than 1 would mean they were more volatile than the benchmark. If beta was less than zero then this could mean one of two things. Either the manager is producing negative returns while the benchmark is achieving positive returns or the manager is achieving positive returns while the benchmark is not.

#### Standard Deviation

Standard Deviation is typically used to measure the tracking error (volatility) of the total return, unlike beta, which measures only market risk. The tracking error gives an estimate of the actual risk the asset manager is taking. For instance a manager who has a wide variation of returns will have a larger volatility compared to a manager whose returns have a small variation. Therefore the higher the standard deviation number the greater the volatility, which may be considered undesirable, unless extra return has been achieved as a result of taking more risk.

#### Return per Unit Risk

Return per Unit Risk is a measure of efficiency, showing how risks are being translated into returns and allows

the investor to compare managers when they are running various levels of risk. There are a number of measures with some making explicit allowance for comparisons between the benchmark and the risk-free rate of return. The most commonly used ones are the Information Ratio and Sharpe Ratio:

#### **Information Ratio**

The Information Ratio is the amount of return added by the manager for each one per cent of risk it is taking over the benchmark.

#### **Sharpe Ratio**

The Sharpe Ratio is the amount of return added by the manager for each one per cent of risk it is taking over the risk-free rate.

For both ratios the higher the return, the more value being added by the asset manager over the benchmark/risk free rate for the risk it is taking. They are therefore widely used as a good comparative measure showing how much value a manager is adding adjusted for the risks it is taking.

#### Drawdown

Investors should also consider reviewing the drawdown over a 12mth period as this provides them with what the minimum return has been achieved by the asset managers over this period. The worst drawdown is often assumed to be negative but if there has been no negative 12 month periods then the lowest drawdown will be positive.

“...real GDP growth rate in the first 6 months of 2013 was a paltry 1.4%, even less than the 1.9% growth since 2000, itself a period of poor performance.”



## Where are we, how did we get here and where are we going?

Figure 1 (1950-2013)

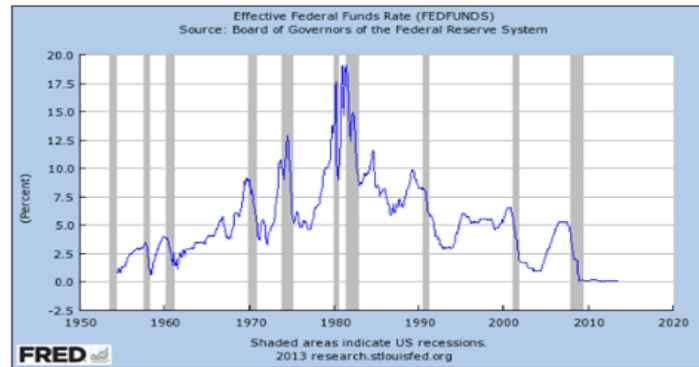
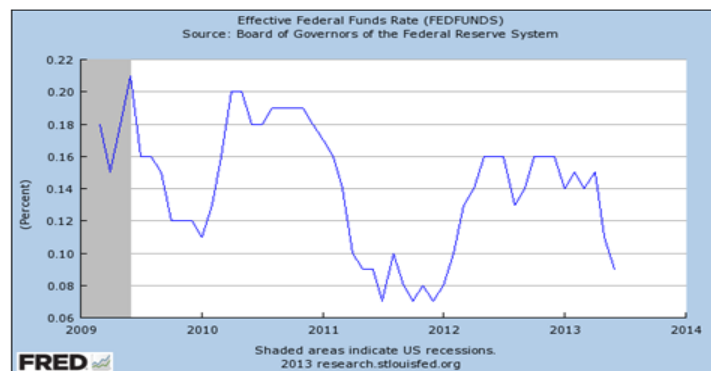


Figure 2 (2009-2013)



entitled QE 3 (or QE Infinity). Will this pattern of on-again, off-again monetary easing programs be repeated with QE 3?

Admittedly, economic conditions have improved over the duration of the monetary easing policies, albeit much more slowly than in past recoveries void of such stimulation. While many would credit the swift action (QE 1) of the Fed for saving us from an economic relapse or collapse, one cannot know whether alternative courses of action would have proved superior. QE 2, AKA Operation Twist and QE 3 have far more critics and little positive result to show for the effort. Unfortunately, it is likely that we will not know the true costs of these latter remedies

notwithstanding the present and considerable risk for financial markets going forward.

### Where we are now

The Fed's policies have proven to be politically oversold as the promised re-acceleration, certainly at the pace projected, in economic growth has not occurred. While the economy has continued to make steady progress it has been fair to poor by most measures. For example, the real GDP growth rate in the first 6 months of 2013 was a paltry 1.4%, even less than the 1.9% growth since 2000, itself a period of poor performance. Between 1959 and 2002, GDP growth averaged 3.4%. One would need to go back to the

1930s to find lower growth rates than those experienced in the 2000's.

Fed control of interest rates over the entire yield curve overtook the natural forces determining bond and stock market equilibriums. It is easy to see some of the benefits. Declining interest rates over the past several years drove bond prices higher and, on balance, produced reasonable returns to fixed income investors. The US stock market has also been on a tear with an over 180% total return as measured by the S&P 500 (ETF: SPY) since the inception of QE 1. This strength in the US stock market is surprising in that it has taken place during a time period of less than stellar economic growth. (see Figure 3 on page 7)

As investors know all too well, the Fed's recent announcement of their planned "tapering" of QE 3, the current mortgage buying program, has caused jolts of volatility in both the bond and stock markets. Long term interest rates were driven up and the stock market retreated. With the Fed basing their timing for this tapering on their perceived strengthening in the economy, one must wonder whether they are at it again: Overestimating the fruits of Fed policies only to be forced to either extend QE 3 or initiate a QE 4. From the point of view of many economists and investors,

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Figure 3



the timing of this taper is called into serious question. The disappointing “trend line” in Figure 1 above, which shows the economy’s “muddle” through a recovery, calls the timing of this tapering into question.

## Where are we going?

For several years now, we have been witnessing a disconnect between the forces that normally drive market behavior in favor of governmental intervention that is currently a prime driver of market behavior. There can be little question as to the amount of trepidation in the markets today given the prospect of such government intervention being phased out or ceasing in 2014 as projected. Will it feel like being dropped off a cliff, as some believe? Will bond portfolios suffer from rising yields, as the QE 3 Program winds down, and eventually from rising interest rates? Probably. Is the stock market on a course for a reset when earnings growth must support current prices rather than abundant liquidity due to FOMC’s low rates and bond

buying policies? Possibly. Figure 4 throws significant doubt as to whether expected economic growth, and by extension corporate earnings growth, can supplant the end of easy money policies as a stimulant to support the stock market. (Figure 4 shows the forecast for GDP growth rates using an autoregressive integrated moving average (ARIMA) model.)

So what are investors to do?

Liquidating portfolios would be rash and ill-advised. Market timing has proven to be a loser’s game. However, accumulating some cash as dry powder for reasonably timed entry or exit points in certain asset

Figure 4



is that in the past, these interest rate increases were temporary; somewhat unlikely in our current situation.

## Summary

Insurers, as conservative investors with large allocations to bonds, are exposed to the dangers of the rising interest rate environment that lies ahead. Insurers that have maintained yield by extending duration (buying longer maturity bonds) have the greatest risk. Those that have gone down in credit quality, increasing their holds of riskier securities, will also feel the bite. However, if these allocations were appropriately correlated with other risks on the balance sheet and within the portfolio, the pain will be minimized.

Stocks are much harder to call. Should the economy continue to build upon its tepid recovery to date, it is entirely possible that the market has more room to run. In this scenario the Fed’s liquidity would not be as necessary to support stock prices as positive sentiment, momentum and



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eventually corporate earnings continue to drive markets higher.

On the other hand, if investor sentiment declines along with market liquidity, stocks could be in for a significant fall. In short, the best defense is simply to remain vigilant: ascertain that your investment strategy is appropriately correlated to the liability structure of your company and build-in the flexibility of your portfolio to accommodate market conditions as they change, perhaps in very unpredictable ways.



### Upcoming Events

**The NAMIC Annual Convention** takes place at the Washington State Convention Center, in Seattle, WA on September 22-25. CapVisor will be exhibiting at this event. Please stop by booth **#510** and say hello!



**SHIA's 33rd National Educational Conference and Expo** will be at the Sheraton Chicago Hotel & Towers from Oct 21-23rd. Carl Terzer will be a registered attendee.

**The CIC-DC Fall Educational Seminar - TRIA Captives** will be held at The City Club on October 8.

**The DCIA Fall Forum** will take place on Nov 6-7 at the Hotel Du Pont in Wilmington, DE.

**The Cayman Captive Forum** takes place on Dec 3-5 at the Ritz Carlton in Grand Cayman. Carl will be a moderator/speaker at this event.



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